CHAPTER
10

# Inflation And Deflation


- Index
- Inflation
- Weighted Indices
- Old Consumer Price Indices
- New Consumer Price Indices
- Types of Inflation
- Effects of Inflation
- Measures to Control Inflation
- Related Terms


The word 'Inflation' is often heard and seen in media. It is an important challenge for policy makers, politicians and common people. Inflation assumes such an importance due to its all round implications. In contrary, deflation is less heard because this is a rare phenomenon. So, inflation deserves elaboration. Before getting in to the subject matter of inflation, it is better to look into index numbers and price indices first.